SMALL BUSINESS BASICS · CANADA

Invoicing Made Simple

Clear invoices, fair terms, and calm follow-up when payment is late

A plain-language guide for Canadian small-business owners

First edition · November 2026

Invoicing Made Simple — Clear invoices, fair terms, and calm follow-up when payment is late

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Important. This guide is general information for Canadian small-business owners. It is not legal, tax, accounting, or financial advice, and it does not create a professional relationship of any kind. Rules, rates, forms, and software features change. Before you act, check the official source named in the guide and, where the stakes are real, talk to a qualified professional who knows your situation.

Nothing in this guide is tax or legal advice. GST/HST rules are set by the Canada Revenue Agency and can change, and rules on late payment, deposits and collections vary by province.

No result is promised. How useful any idea in this guide turns out to be depends on your business, your customers, your market, and how you apply it.

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Contents

Before you start
- What this guide is not

What goes on an invoice
- Invoice, quote or receipt?
- What every invoice should show
- GST/HST details

Numbering, dates and payment terms
- Numbering your invoices
- Dates and payment terms
- State your terms up front

Deposits, progress billing and payment methods
- Deposits and progress billing
- Payment methods

Sending invoices and keeping records
- Send it promptly
- Choosing your tools
- Keeping records

When payment is late
- A steady follow-up routine
- Late interest
- When reminders do not work

Disputes, corrections and credit notes
- Handling a dispute
- Correcting mistakes and credit notes

Templates and worksheets
- Sample invoice
- Payment terms wording
- Reminder emails
- Credit note, receipt note and worksheet

Checklist

Where to learn more

Before you start

This guide is for Canadian small-business owners who do the work first and get paid after: sole proprietors, small trades crews, cleaners, salon owners, consultants, photographers, tutors, landscapers, and anyone else who sends a bill and then waits for the money.

It walks through what to put on an invoice, how to number and date your invoices, how to set payment terms, how to handle deposits and progress billing, which payment methods to offer, and what to do when a payment is late or a customer disputes a bill. It ends with copy-ready templates, a sample invoice, four reminder emails, a worksheet, and a one-page checklist.

What this guide is not

This is general information, not legal, tax, or accounting advice. Invoicing touches on GST/HST, contract law, interest rules, and record keeping. Those rules are set by the Canada Revenue Agency (CRA), by federal law, and by your province, and they change. Where a rule matters, this guide says so and points you to the official source. When the stakes are real, such as a large unpaid bill, a legal letter, or a tax question, talk to an accountant, a bookkeeper, or a lawyer who knows your situation.

You can read it front to back in an evening. Each chapter ends with a short “Key points” box. If someone owes you money right now, start with “When payment is late”. If you want wording you can use today, go to the templates chapter. The examples use made-up businesses and made-up numbers. They show how an idea works. They are not a prediction of what will happen in your business or a suggestion of what to charge.

Keep a pen handy. The worksheet in the templates chapter asks you to make a few decisions once, such as your standard payment terms and your reminder schedule, so you do not have to decide again every time you send a bill.

What goes on an invoice

An invoice is a written request for payment. It tells your customer what you did or sold, how much they owe, and how and when to pay. A good invoice also does a few quieter jobs. It becomes part of your books, showing what you earned and when, which matters for your income tax return and, if you are registered, your GST/HST return. For a business customer, your invoice may be what they need to claim the expense and any tax credits. And it repeats, in writing, the payment terms you agreed on before the work started.

A customer can only pay what they understand. If the amount, the due date, or the way to pay is missing or buried, payment can stall while they figure it out or set it aside to ask you later. A clear invoice removes those small reasons to delay.

Invoice, quote or receipt?

People mix these up, so here is the short version.

Document	When you use it	What it says
Quote or estimate	Before the work	“This is what the job will cost.”
Invoice	After the work, or at a billing stage	“This is what you owe, and how to pay.”
Receipt	After payment	“We received your payment. Thank you.”
Credit note	After an invoice, to reduce it	“We are reducing what you owe by this amount.”

If a customer pays on the spot, as at a salon or a food truck, a combined invoice and receipt that clearly says “Paid” can do both jobs, as long as it shows the information it needs.

> **EXAMPLE**
>
> Say you run a mobile dog-grooming van in Halifax. Your household customers pay by card at the van, and the receipt from your card app is all they need. But a pet supply store also pays you for grooming demonstrations in its shop. For that customer, you send a proper invoice at the end of each month, with an invoice number, the dates of each demo, a PO number, and Net 15 terms.

What every invoice should show

Build these into your standard template once and you rarely have to think about them again.

Who it is from. Your business name, mailing address, phone number, and email. If you operate under a registered business name, use that name consistently.

Who it is for. The customer's name or business name and address. For a business, ask who handles payments and address the invoice to that person or department, not just the person you worked with on site. If they gave you a purchase order (PO) number, show it. Some business customers cannot pay an invoice without one.

A unique invoice number. The next chapter covers how to set up a numbering system.

The dates. The invoice date (the day you issue it), the due date, and the date or dates of service if they are different. Writing the actual due date, such as "Due December 4, 2026", is clearer than writing only "Net 30". Many owners show both.

A clear description of the work. Describe what you did in words your customer will recognize. "Services rendered" is not enough. Compare "Labour, $640.00" with "Spring yard clean-up at 14 Birch Lane, April 22 and 23, 2026: raking, bed edging, and removal of 12 bags of debris. 16 hours at $40.00 per hour, $640.00." The second answers questions before they are asked, and it helps you if there is ever a disagreement about what was included. For each line, show what it is, the quantity or hours, the rate, and the line total.

The totals. The subtotal, any tax, any deposit or payment already received, and the amount now due. Make the amount due easy to spot, in bold or in a box.

How to pay. The payment methods you accept, the email address for Interac e-Transfer if you take it, who to make cheques payable to, and what to put in the payment message, such as the invoice number.

Your terms and a thank-you. State your payment terms in plain words, including anything that applies if payment is late, such as interest you agreed on in advance. Then add a short line of thanks. "Thank you for your business" still works.

You do not need a designer. A clean layout with your business name at the top, plenty of white space, and one consistent template is enough.

GST/HST details

If you are registered for GST/HST, your invoices need to show tax correctly. Show your GST/HST registration number, which is your nine-digit Business Number plus "RT" and a four-digit reference (for example, 123456789 RT0001, which is a made-up number). Show the tax rate and amount as its own line, or clearly state that the total includes tax.

At the time of writing, GST is 5%. Five provinces use the combined HST instead: Ontario 13%; New Brunswick, Newfoundland and Labrador, and Prince Edward Island 15%; and Nova Scotia 14% (lowered from 15% on April 1, 2025). British Columbia, Saskatchewan, and Manitoba have a separate provincial sales tax (PST), and Quebec has the QST. Check CRA's current GST/HST rates page before you set up your invoices.

The rate you charge generally depends on where the sale is made under CRA's place-of-supply rules, not simply where your business is located. For services, this is often where the customer is. If you work across provincial lines, check CRA's guidance or ask an accountant.

WATCH OUT

If you are not registered for GST/HST, do not charge it and do not add a tax line. Under CRA's small supplier rule, you generally do not have to register if your total taxable revenues (including associated businesses) are $30,000 or less over the last four consecutive calendar quarters and in any single calendar quarter. Once you go over, you must register and start charging tax. Confirm the current rule at canada.ca/revenue-agency.

When your customer is a GST/HST registrant, they generally claim back the tax they paid you as an input tax credit (ITC). To do that, they need invoices that show certain information, and CRA's rules group the required details by the total of the sale: under $100; $100 to under $500; and $500 or more. More information is required at each level. For example, your registration number is required from the $100 level, and the customer's name, the payment terms, and a description of what was supplied are required at the $500 level.

The simple approach is to include everything on every invoice: business name, registration number, invoice date, customer name, description, terms, tax rate and amount, and total. Then you never have to wonder which level a sale falls in. Check CRA's guidance on input tax credits for the exact list. This is general information, not tax advice.

KEY POINTS

- An invoice asks for payment, records the sale, and repeats the terms you already agreed.
- Show who it is from, who it is for, a unique number, the invoice date, and the due date.
- Describe the work in words the customer will recognize, with quantities and rates.
- If you are registered, show your GST/HST number and the tax. If you are not, do not charge it.
- Include every ITC detail on every invoice so you never have to think about the tiers.

Numbering, dates and payment terms

Numbering your invoices

Invoice numbers let you and your customer refer to one specific bill without confusion. They also make your records easier to follow if anyone, including CRA, reviews them. Three rules cover it. Every number is unique, so you never reuse one. Numbers go in order, without gaps. And you never delete an invoice: if you make a mistake, mark it void or issue a credit note (see “Disputes, corrections and credit notes”), and keep the original.

System	Example	Good for
Simple sequence	1001, 1002, 1003	Any business
Year plus sequence	2026-001, 2026-002	Seeing the year at a glance
Customer code plus sequence	HVC-014	A few regular clients
Job number plus stage	J218-1, J218-2	Progress billing on larger jobs

If you use the year-plus-sequence system, restarting the count each January is fine because the year keeps every number unique. Invoicing software usually numbers invoices for you. If you number by hand, write the next number on your worksheet.

Dates and payment terms

Three dates do most of the work: the invoice date, the due date, and the service date. Write dates in full, such as “November 4, 2026”. A date like “04/11/2026” can be read as April 11 or November 4, depending on who reads it.

Payment terms tell the customer when to pay. Common terms include:

- **Due on receipt.** Payment is expected as soon as the customer gets the invoice. Suits one-time household jobs and small amounts.
- **Net 7, Net 15, Net 30.** Payment is due 7, 15, or 30 days after the invoice date. “Net” means the full amount, with no discount.
- **Due on a set date.** For example, “Due on the 1st of each month” for a monthly retainer.
- **Payment at time of service.** The customer pays when the work is done, before you leave.

There is no single correct answer. Think about your cash flow: how long can you wait for money, especially if you pay for materials up front? Think about your customer: household customers may be able to pay quickly, while some business and government customers pay bills on a fixed schedule and may ask for longer terms. And think about the size of the job: a large job may call for a deposit and progress billing rather than one big invoice at the end.

EXAMPLE

Say you run a two-person cleaning business in Truro. For household clients, you invoice at the end of each month with Net 7 terms. A small dental office you clean every week asks for Net 30 because their bookkeeper pays bills twice a month. Before agreeing, you check whether you can carry a month of unpaid work. You can, so you write “Net 30” into their service agreement and onto every invoice you send them.

Some businesses offer a small discount for paying early. It can work, but it costs you money every time a customer takes it, and it makes your invoices more complicated. If you try it, state the discount and the deadline clearly in the quote and on the invoice, record the discount properly in your books, and ask your accountant how it affects GST/HST if you are registered.

State your terms up front

This is the most important habit in this guide: agree on payment terms before you start the work, not when you send the bill.

Put your terms in your quote, estimate, service agreement, or booking confirmation, and get the customer to accept them in writing or by email. Then repeat the same terms, in the same words, on the invoice. Nobody is surprised, and if there is a disagreement later, you can point to what the customer agreed to.

This matters most for late fees and interest. They generally need to be agreed in advance, in the quote, contract, or terms the customer accepted. Adding them to an invoice after the fact puts you on weaker ground. Treat this as good practice, and ask a lawyer how it applies to your situation. The chapter on late payments explains an important rule about how to write an interest rate.

Keep the wording short and plain. Avoid legal-sounding phrases you could not explain to a customer. Ready-to-use wording is in the templates chapter.

KEY POINTS

- Use unique invoice numbers in order, and never delete an invoice.
- Write dates in full so they cannot be misread.
- Choose terms that fit your cash flow, your customers, and the size of the job.
- Agree on terms before the work starts, then repeat them on the invoice in the same words.

Deposits, progress billing and payment methods

Deposits and progress billing

A deposit is money the customer pays before you start. It can help cover materials, confirm a booking, and reduce how much you are owed if something goes wrong. Deposits are often used for jobs where you buy materials up front, for bookings that block off your time, and for new customers.

If you take deposits, state the amount, when it is due, and whether it is refundable in your quote or booking terms. If it is non-refundable, say so plainly and get the customer to agree before they pay. Send a deposit invoice or a receipt, with its own number, so both of you have a record. On the final invoice, show the full job total, subtract the deposit already paid, and show the balance owing.

Rules on deposits, cancellations, and consumer contracts vary by province under consumer protection laws. If you work for household customers, check your province's consumer protection office or ask a lawyer before you set your deposit and cancellation policy. If you are registered for GST/HST, ask your accountant or check CRA's guidance on how tax applies to deposits.

Progress billing means sending several invoices over the course of a large job instead of one at the end. Each invoice covers a stage of the work. It can make sense when a job runs for weeks or months, or when you pay for materials and labour along the way. Agree on the stages in advance and list them in your quote: what each stage is, when it is billed, and how much. Tie stages to something both of you can see, such as "framing complete", rather than a vague date. On each invoice, show the full job amount, what has been billed so far, what has been paid, and what is left.

> **EXAMPLE**
>
> Say you run a small renovation business in Moncton and quote $18,000.00 plus HST for a bathroom remodel. The signed quote sets out three stages: $4,000.00 plus HST on signing, $7,000.00 plus HST when demolition and rough-in are complete, and $7,000.00 plus HST at the final walk-through. The second invoice ends with a short summary: "Contract total $18,000.00 plus HST. Billed to date: $11,000.00 plus HST. Remaining: $7,000.00 plus HST."

Payment methods

The easier you make it to pay, the fewer reasons a customer has to put it off. Offer a few methods that suit your customers, list them on every invoice in the order you prefer, and put the one that is easiest for you first.

Interac e-Transfer. The customer sends money from their online banking to your email address or phone number. Set up autodeposit if your bank offers it, so payments go straight into your account and the sender sees your registered business name. Bank sending limits can make large invoices harder to pay this way. Watch for fake payment notification emails, and always confirm a payment in your own banking app before you mark an invoice paid.

Credit and debit cards. Some customers prefer to pay by card. You will need a payment processor, a terminal, or an invoicing app that takes cards. Card payments come with processing fees that vary by provider and plan, so check the current fees and how long it takes for money to reach your account. Check your processor's rules and any provincial rules before you add a surcharge for card payments.

Cheque. Still used by some businesses, organizations, and customers. Cheques cost little to accept but are slower: the customer has to mail or drop it off, and you have to deposit it. Your bank may let you deposit cheques by taking a photo in its app. Note the cheque number in your log when you record the payment.

Direct deposit or electronic funds transfer (EFT). Some business and government customers pay this way, and some require it. You give them your banking details, often on a form of their own. It is reliable, but some customers only run payments on certain days of the month, so ask when their payment runs happen.

Cash. Simple and immediate. Always give a receipt, record cash the same day, and deposit it regularly so your bank records match your books.

> **WATCH OUT**
>
> Fraudsters sometimes send emails that look like they come from a supplier, asking for payment to a new bank account. Tell regular customers your banking details will never change by email alone. If a supplier of yours asks you to pay a new account, confirm it by calling a number you already have on file.

> **KEY POINTS**
>
> - Put deposits and progress billing stages in writing before the work starts.
> - Show deposits and earlier payments clearly on each invoice.
> - Offer a few payment methods that suit your customers and spell them out on the invoice.
> - Confirm every e-Transfer in your banking app, and protect your banking details.

Sending invoices and keeping records

Send it promptly

Payment terms count from the invoice date, so sending the invoice sooner starts the clock sooner. Every day you wait to send an invoice is a day added to your wait for money. Invoice the same day you finish a job, or the next business day. For ongoing work, invoice on a fixed schedule, such as the last business day of each month, and stick to it. If you work on site, many invoicing apps let you create the invoice on your phone before you leave the driveway, while the details are fresh.

Email is a simple way to send invoices. Use a clear subject line, such as “Invoice #1042 from Harbourview Cleaning, due November 18, 2026”. Attach the invoice as a PDF, or send it through your invoicing software, which usually includes a link to view and pay online. Put the amount, due date, and how to pay in the body of the email too, so the customer sees what they need even without opening the attachment. For business customers, send it to their accounts payable contact. For a large invoice or a new business customer, ask them to confirm they received it and that nothing is missing, such as a PO number. Finding out on day 3 that they need a PO number is better than finding out on day 30.

Choosing your tools

There are three common ways to create invoices, and each can work.

Invoicing or accounting software. Examples at the time of writing include QuickBooks, Xero, FreshBooks, Wave, and the invoicing features built into payment apps such as Square. These are examples only, not recommendations. Most of these tools let you number invoices automatically, save customer details and your usual services, calculate tax, email invoices, accept online payments, send automatic reminders, and see at a glance which invoices are overdue. The trade-offs are a monthly cost for most of them and some setup time. Features and pricing change, so check the current version and use a free trial if one is offered.

A spreadsheet. You build the invoice in one sheet and keep a log in another. It costs little and you control everything, but you do the numbering, tracking, and reminders yourself, and formula mistakes can creep in.

A word-processing template. You fill it in and save it as a PDF. Fine for a handful of invoices a month, but you track everything by hand. If you find yourself losing track of who owes what, software can make it easier to stay organized.

Whatever you use, you need one place that shows every invoice and its status. Software does this for you. Otherwise, keep a simple log with these columns: invoice number, date sent, customer, amount, due date, date paid, and notes (reminders sent, calls made). Review it once a week, on the same day. Anything past due goes on that day’s follow-up list.

When a payment arrives, find the invoice it pays, mark it paid with the date and method, and note any balance still owing if it is a partial payment. Once a month, compare your log or software with your bank account. This catches payments you forgot to record and invoices you thought were paid but were not.

Keeping records

CRA generally requires you to keep your books and records for six years from the end of the last tax year they relate to. Your invoices, credit notes, receipts, deposit records, and payment records are part of that. Confirm the current rules at canada.ca/revenue-agency, and ask your accountant if you are unsure.

CRA accepts electronic records. If you send invoices from software or as PDFs, you already have electronic copies. CRA has rules for keeping electronic records and for scanning paper ones, and records must be readable and available if CRA asks for them. Check CRA's guidance on keeping records before you shred any paper originals.

Keep one folder per year, use file names that sort well (such as "2026-042 Harbour Dental.pdf"), and keep your invoice log in the same place. Back everything up to a second location, such as a cloud service or an external drive, and check now and then that the backup actually works. If you use invoicing software, export your invoices at least once a year, so you still have your records if you stop using the service.

Your invoices also hold customers' personal information, which is covered by private-sector privacy law (PIPEDA federally; Alberta, British Columbia, and Quebec have their own). Collect only what you need on the invoice, protect devices and accounts with passwords, never copy other customers on a reminder email, and remember that you remain responsible for the information when you use cloud software.

KEY POINTS

- Send invoices the day the work is done, or on a fixed schedule for ongoing work.
- Put the amount, due date, and how to pay in the email itself.
- Software, spreadsheets, and templates can all work. Pick what you will keep up with.
- Keep a log, review it weekly, and compare it with your bank account monthly.
- Keep records for six years from the end of the last tax year they relate to, and confirm with CRA.

When payment is late

A late payment is not always a sign of trouble. Invoices get lost in inboxes, or the person who approves bills is on vacation. A steady follow-up routine can take a lot of the awkwardness out of it, because you are following a process rather than making a judgement about anyone.

A steady follow-up routine

Decide your schedule once and use it for every customer. A simple one:

1. **A few days before the due date:** a friendly heads-up.
2. **On the due date:** a short "payment is due today" note.
3. **7 days after the due date:** a clear "this is now overdue" email.
4. **14 days after the due date:** a phone call.
5. **30 days after the due date:** a final notice in writing, stating your next step.

Adjust the timing to suit your terms. The templates chapter has wording for each email. Keep every reminder short, polite, and factual: the invoice number, the amount, the original due date, and how to pay, with the invoice attached again. There is no need to apologize for asking. You did the work, and you are asking for what was agreed.

If emails have not worked, call. A phone call is harder to ignore, and you may learn the invoice went to the wrong person or there is a question about the work. Have the invoice, the quote, and your reminder log in front of you. Stay friendly and ask for a specific payment date. Afterwards, send a short email confirming what you agreed.

If the customer cannot pay in full, consider a written payment plan: the total owed, each payment amount and date, and what happens if a payment is missed.

If a customer with ongoing work stops paying, you may decide to pause further work until the account is up to date. Whether you can depends on your agreement, so it helps if your terms already say so. If you are partway through a job, talk to a lawyer before you stop work. Some trades also have lien rights for unpaid work on property. These are provincial, technical, and have strict deadlines, so learn your province's rules before you need them.

Late interest

If you want to charge interest on overdue accounts, keep two things in mind.

Agree on it in advance. Put the rate in the terms the customer accepted before the work began, and repeat it on the invoice.

State the yearly rate. Under section 4 of the federal Interest Act, when a written agreement states interest as a rate per day, week, month, or any period less than a year, it must also state the equivalent yearly rate. If it does not, interest is generally limited to 5% per year. In practice, if your terms say "2% per month", they should also say "(24% per year)". That is an example of how to write a rate, not a suggestion for what to charge.

Whether and how this applies to a particular invoice, and what rate is reasonable, are questions for a lawyer. Confirm the current law before you rely on it. If you do add interest, show the calculation so the customer can see where the number came from.

When reminders do not work

If reminders and a call have not worked, send a final notice: polite, firm, and specific, with the balance owing, a clear deadline, and the step you will take if you do not hear back. Only name a step you are prepared to take.

A **collection agency** tries to recover the debt for you, in exchange for a fee, which may be a share of what it collects. Rules for collection agencies vary by province, so ask how it is paid and how it is licensed or registered where you operate.

Small claims court exists in every province, with its own monetary limit and process. Check your province's small claims court website for the current limit, fees, forms, and steps, and gather your quote, invoice, reminder emails, and call notes. There are also deadlines for starting a claim, called limitation periods, which vary by province, so do not let an old debt sit too long without getting advice.

If you decide to stop chasing an account, ask your accountant how to record the bad debt for income tax and, if you are registered, GST/HST. And remember that this is general information, not legal advice: before you send a demand letter, file a claim, stop work, or add interest, talk to a lawyer.

KEY POINTS

- Use the same reminder schedule for every customer so follow-up feels routine.
- Call when emails stop working, and confirm in writing.
- Agree on late interest in advance and state the yearly rate. Ask a lawyer.
- For collections and small claims, check your province's rules and get advice.

Disputes, corrections and credit notes

Handling a dispute

Sometimes a customer does not pay because they disagree with something on the invoice: the hours seem high, a line was not part of the deal, or the work was not finished to their satisfaction. A calm process helps.

1. **Listen first.** Ask exactly which part they disagree with and why, and write it down.
2. **Check your records.** Look at the quote, the agreement, any approved changes, your time records, and any photos of the work.
3. **Separate the disputed part.** If they agree with most of the invoice, ask them to pay the undisputed amount now while you sort out the rest.
4. **Decide what is fair.** You might explain and stand by the charge, fix the problem, or reduce the bill.
5. **Put the outcome in writing.** A short email stating what you agreed avoids a second disagreement later.

> **EXAMPLE**
>
> Say you are a freelance photographer in Kelowna. You invoice a client for a half-day shoot and 40 edited images. The client replies that they only received 32. You check your delivery folder and they are right: eight images did not upload. You send them that day with a short apology, and the client pays. Later, the same client questions a $150.00 travel charge. You reply politely with the signed quote attached, which lists travel outside the city at that rate, and the client pays.

Most of the tools for avoiding disputes come before the invoice: a written quote that says what is and is not included, written approval (a short email exchange is often enough) for any change in scope and its cost before you do the extra work, detailed descriptions on the invoice, and photos or notes of finished work where that makes sense.

Correcting mistakes and credit notes

Mistakes happen: a wrong rate, a missing line, a typo in the total. If you have not sent the invoice yet, just fix it. If you have sent it, do not edit the original and resend it under the same number. That creates two different versions of one invoice, which confuses everyone, including anyone who reviews your records later. Instead:

- **If you undercharged**, send a new invoice for the difference that refers to the original invoice number, or, if the customer has not paid yet, void the original and issue a corrected invoice with a new number.

- **If you overcharged**, issue a credit note for the difference, or void the original and issue a corrected invoice with a new number.

Either way, keep the original in your records, marked void or adjusted.

A credit note is a document that reduces what a customer owes on an invoice. You might issue one when you overcharged, the customer returned goods, you agreed to a discount after the invoice went out, or you cancelled part of a job. A credit note should show the words “Credit note”, its own unique number (such as CN-001), the date, your details and the customer’s, the original invoice number, what is being credited and why, the amount including any tax being reversed, and the new balance owing.

If the original invoice included GST/HST, the credit note generally needs to adjust the tax too, and CRA has rules on what a credit note must show. Check CRA’s guidance or ask your accountant before you issue one.

If the customer has already paid, you can refund the amount or, for a regular customer, apply the credit to their next invoice. Ask which they prefer, and record it properly in your books. Send the credit note either way, so the customer has a record that matches yours.

KEY POINTS

- Ask what part is disputed, check your records, and get the undisputed amount paid.
- Get written approval for changes in scope before you do the extra work.
- Never edit a sent invoice under the same number. Use a credit note, a new invoice, or a voided and replaced invoice.
- If GST/HST is involved, check CRA’s guidance on credit notes.

Templates and worksheets

Copy and adapt these, replacing anything in square brackets, and use the same terms wording in your quote, agreement, and invoice. If you charge interest or require deposits, have a lawyer check your wording first.

Sample invoice

This invoice, its business, and its GST/HST number are made up. Check CRA's current rate for your province.

TEMPLATE

HARBOURVIEW CLEANING · 12 Water Street, Truro, NS · (902) 555-0142 · billing@harbourviewcleaning.example · **GST/HST number:** 123456789 RT0001

INVOICE #1042 · **Invoice date:** November 4, 2026 · **Due date:** November 18, 2026 (Net 14)

Bill to: Harbour Dental Clinic, Attention: Accounts Payable, 88 Main Street, Truro, NS · **PO number:** 5521

Description	Qty	Rate	Amount
Weekly office cleaning, Oct. 1 to 29 (5 visits)	5	$200.00	$1,000.00
Interior window cleaning, Oct. 15	1	$200.00	$200.00

Subtotal: $1,200.00 · **HST (Nova Scotia, 14%):** $168.00 · **Total due: $1,368.00**

How to pay: Interac e-Transfer to billing@harbourviewcleaning.example (autodeposit on), or cheque payable to Harbourview Cleaning. Please include invoice #1042 with your payment. **Terms:** Payment is due within 14 days of the invoice date, as set out in our service agreement. Thank you for your business.

Payment terms wording

TEMPLATE

Due on receipt / Net 15 / Net 30: Payment is due [when you receive this invoice / within 15 days of the invoice date / within 30 days of the invoice date].

Deposit: A deposit of $[Amount] is due on booking to reserve your date. The balance is due [on completion / by the due date]. The deposit is [refundable / non-refundable] if you cancel [timing].

Progress billing: We will invoice in [number] stages: [list each stage and amount]. Each invoice is due within [number] days.

Late payment (have a lawyer check this first): Overdue balances are subject to interest at [rate] per month ([yearly rate] per year), calculated from the due date until paid. We may pause work on accounts more than [number] days overdue.

Reminder emails

TEMPLATE

1. Before the due date

Subject: Reminder: invoice #[Number] due [Date]

Hi [Client name], a friendly reminder that invoice #[Number] for $[Amount] is due on [Date]. A copy is attached. You can pay by [how to pay]. If you have any questions, just reply to this email.

Thanks, [Your name], [Business name], [Phone]

TEMPLATE

2. On the due date

Subject: Invoice #[Number] is due today

Hi [Client name], a quick note that invoice #[Number] for $[Amount] is due today. A copy is attached. If you have already paid, thank you, and please ignore this message. Thanks, [Your name]

TEMPLATE

3. Seven days late

Subject: Overdue: invoice #[Number] ($[Amount])

Hi [Client name], our records show that invoice #[Number] for $[Amount], due on [Date], has not been paid yet. A copy is attached. Could you let me know when we can expect payment? If there is a problem with the invoice or a question about the work, please tell me so we can sort it out.

Thanks, [Your name], [Business name], [Phone]

TEMPLATE

4. Final notice

Subject: Final notice: invoice #[Number]

Hi [Client name], invoice #[Number] for $[Amount] was due on [Date]. We sent reminders on [dates] and [spoke by phone / left messages] on [dates], and the balance of $[Balance] is still outstanding.

Please pay the balance by [Deadline date]. If we have not received payment or heard from you by then, we will [refer the account to a collection agency / file a claim in small claims court].

We would much rather settle this directly. If you need to arrange a payment plan, please call me at [Phone] before [Deadline date].

Sincerely, [Your name], [Business name]

Credit note, receipt note and worksheet

TEMPLATE

CREDIT NOTE #CN-[Number] · **Date:** [Date] · **Customer:** [Customer name and address] · **Relates to invoice:** #[Original number], dated [Date]

Reason: [For example: Overcharge on hours. Invoice showed 18 hours; actual hours were 16.]

Credit amount: $[Amount before tax] · **GST/HST credited (if applicable):** $[Tax] · **Total credit:** $[Total]

New balance on invoice #[Original number]: $[New balance]. [This credit has been applied to your account. / A refund of $[Total] will be sent by [method] by [Date].]

WORKSHEET

My invoice numbering system and next number: _____

Standard terms (household / business): _____

Jobs that need a deposit, and how much: _____

Payment methods I accept, in order of preference: _____

When I send invoices, and my reminder schedule: _____

Late interest wording checked by a lawyer on: _____

Where my records and backup are stored: _____

Day of the week I review my invoice log: _____

TEMPLATE

Payment received note

Subject: Payment received: invoice #[Number]

Hi [Client name], thank you. We received your payment of $[Amount] for invoice #[Number] on [Date], and your account is now paid in full. It was a pleasure working with you. [Your name], [Business name]

Checklist

CHECKLIST

Set up once

- [ ] Choose a numbering system and write down the next invoice number
- [ ] Build one invoice template with your business name and contact details
- [ ] Add your GST/HST number if registered, and no tax line if not
- [ ] Check CRA's current GST/HST rates page for the rate that applies
- [ ] Write your standard payment terms in plain language
- [ ] Decide your deposit and progress billing policy, and check provincial rules
- [ ] List the payment methods you accept; set up e-Transfer autodeposit if you use it
- [ ] If you charge late interest, state the yearly rate and have a lawyer review it
- [ ] Set up an invoice log, a filing system, and a backup

Before each job

- [ ] Put the price, terms, and any deposit in the quote and get it accepted in writing
- [ ] Ask business customers who handles payments and whether they need a PO number
- [ ] Get written approval for any change in scope before doing extra work

Each invoice

- [ ] Unique number, invoice date, due date, and customer details
- [ ] Clear description, quantities, rates, subtotal, tax, deposits paid, amount due
- [ ] How to pay and what to include with the payment
- [ ] Sent promptly and recorded in your log

Every week, month, and year

- [ ] Weekly: review the log, send reminders, and make calls on schedule
- [ ] Weekly: match payments to invoices and mark them paid
- [ ] Monthly: compare your invoice records with your bank account
- [ ] Yearly: export or back up records, and keep them for six years from the end of the last tax year they relate to

Where to learn more

These are official sources. Addresses are given at the homepage level because deeper pages move; use each site's search to find the topic.

Canada Revenue Agency (canada.ca/revenue-agency). Search for GST/HST rates, small suppliers, input tax credits, credit and debit notes, keeping records, and bad debts.

Your province. Search for "[your province] small claims court" on your provincial government's site to check the current monetary limit, fees, forms, and deadlines. Your province's consumer protection office covers deposits, cancellations, and contracts with household customers, and can tell you how collection agencies are regulated. For lien rules on construction work, check your provincial government's site or ask a construction lawyer. In Nova Scotia, start at novascotia.ca.

Federal laws. The Interest Act and other federal laws are published on the Justice Laws website (laws-lois.justice.gc.ca). The Office of the Privacy Commissioner of Canada (priv.gc.ca) explains PIPEDA for businesses.

Talk to a professional. An accountant or bookkeeper can help with GST/HST on invoices, deposits, credit notes, bad debts, and record keeping. A lawyer can help before you charge late interest, stop work on an unpaid job, send a formal demand letter, or file a claim. Your provincial law society's website can help you find one. Your bank can help with business accounts, autodeposit, and protecting yourself from payment fraud.

One last reminder: this guide is general information, not legal, tax, or accounting advice. Rules change, so check the official source before you act.